

short-term performance,” he says.

Anant Ladha, founder of investment platform Invest Aaj for Kal, says a category like the active asset allocator long-short fund, which invests across equity, debt, commodity derivatives as well as REITs, could suit investors looking for steady and consistent returns over time.

“Particularly, if you are a defensive investor who would be very happy with, say, 10–11% returns, and that too consistent, the active asset allocator category could be good for you. Also, when multi-asset funds perform, like they did due to a rally in gold and silver in the recent past, these funds could even beat equity returns,” he says.

DISTRIBUTION CHALLENGES

One challenge that may act as a speed bump in the rapid growth of SIFs in the near term is distribution. Mutual fund distributors who want to also sell SIFs must clear a stringent certification process. It is estimated that there are currently around 7,000 SIF distributors, compared with around two lakh distributors in the mutual fund industry.

Chalasani says the current distributor network is sufficient for the present size of the market and the number is growing every month. He agrees that the network needs to expand further and says discussions are on with Sebi on that front.

While distributor availability is currently seen as the biggest constraint to the growth of the category, industry participants believe investor awareness will improve as more fund houses launch SIFs. “We are trying to see if there is a way in which the NISM (National Institute of Securities Markets) test that is being done can be focused and the syllabus is related to only particular strategies rather than covering all other products. The test, for instance, even includes forex derivatives. We have requested that things that are not essential to become a distributor of SIF be removed,” says Chalasani. Sebi and NISM are working together to bring out a combined mutual fund–SIF distributor certification examination, which will be a single certification for distributors intending to distribute both mutual fund and SIF products, Amarjeet



“What excites us about SIFs is that they democratise access to strategies that were historically available only through more exclusive structures”

RADHIKA GUPTA

MD AND CEO,
EDELWEISS MUTUAL FUND



“Taking derivative positions helped these people invest more and then give reasonably better results when compared to what we are getting in the mutual fund space”

VENKAT CHALASANI

CEO, ASSOCIATION OF MUTUAL
FUNDS OF INDIA

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Singh, whole-time member of Sebi, said in an industry conference earlier this month.

The SIF industry is still a fraction of the size of the mutual fund industry. The net AUM of the mutual fund industry stood at ₹81.58 lakh crore as of May 31, 2026, with equity funds alone recording inflows of ₹22,908 crore in May. While these inflows have been driven largely by retail investors through SIPs and lump-sum investments, industry participants expect SIFs to attract a mix of money shifting from PMSs and AIFs, as well as allocations from experienced mutual fund investors seeking more sophisticated investment strategies.

“If you look at developed investment markets globally, investors have access to a much wider spectrum of portfolio solutions. India is moving in that direction as investor sophistication increases and financial assets continue to grow,” says Gupta of Edelweiss MF. **BT**

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